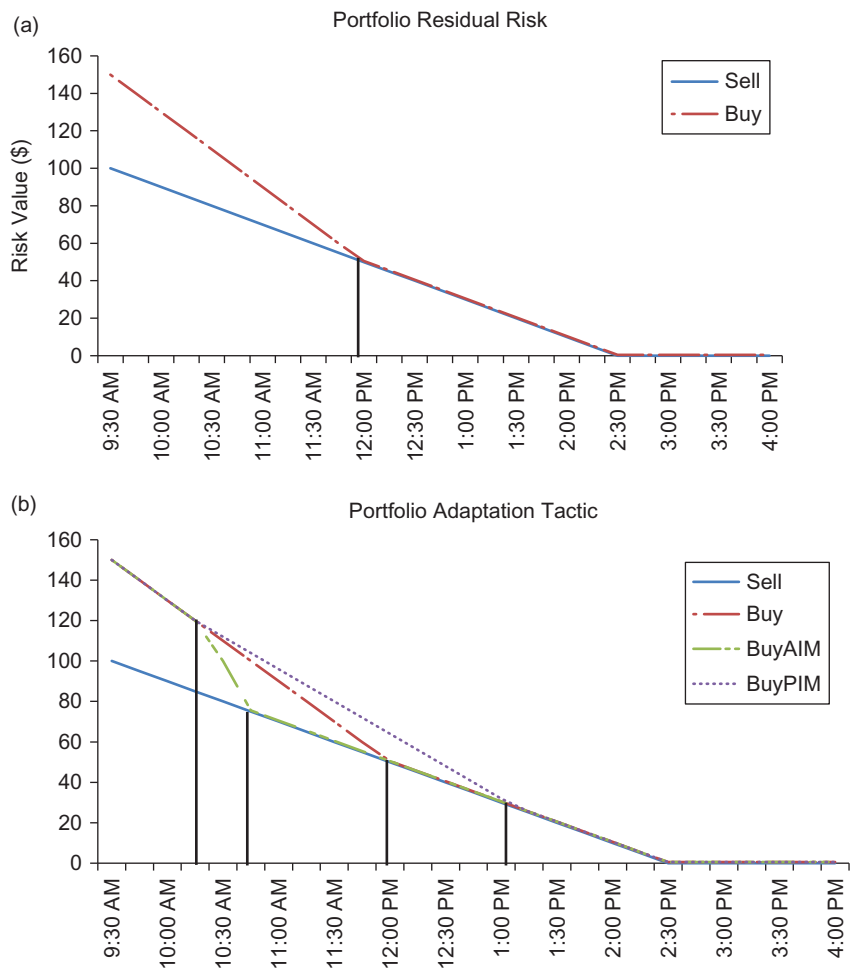




■ Figure 9.3 Portfolio Adaptation Tactics.

until completion to reduce market impact cost. A manager employing the PIM adaptation tactic will wish to take advantage of the “good” risk and “better” prices and trade at a slower rate. Here the manager does not trade into the hedged position until 1:15 p.m. After this time the shares are traded at a passive rate to reduce market impact cost. In both situations, once the basket achieves its maximum hedged position the AIM and PIM tactics will not have any effect on the trading schedule. But there is usually something that can always be refined during trading.